THE TRADING FOUNDRY

TRADING FOUNDRY UNIVERSITY · PLAYBOOK 7 OF 15 · INTERMEDIATE

RSI & Divergence Trading

Using the Relative Strength Index to gauge momentum, and trading regular and hidden divergence between price and the oscillator as an early warning of shifts.



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RSI & Divergence Trading

The Complete Course

Trading Foundry University — Playbook 7 of 15

First Edition — 2026

> *This book is educational content only and is not financial advice. Nothing here is a recommendation to buy or sell any instrument. All charts, numbers and worked examples are illustrations of technique, not signals. Trading foreign exchange involves a substantial risk of loss and is not suitable for everyone. Never trade with money you cannot afford to lose.*

How to Use This Book

This is a book about one indicator, and it is longer than most books about twenty. That is deliberate. The Relative Strength Index is probably the most-used oscillator in retail forex and, we would argue, the most misused. Nearly everyone has it on their chart. Almost nobody can tell you what the number actually measures, why "sell at 70" quietly bleeds accounts in trending markets, or why a divergence that looks textbook-perfect can stack three times in a row while price keeps marching.

So we are going to slow down and do it properly.

The first three chapters are foundations: what RSI mathematically is, why the overbought/oversold folklore is mostly wrong, and how the indicator behaves differently in trends versus ranges. Do not skip these to get to the divergence chapters. Divergence trading without an understanding of RSI's mechanics is pattern-matching with extra steps, and the market punishes pattern-matchers who don't know why their pattern works.

Chapters 4 and 5 cover regular and hidden divergence — the early-warning system and the continuation clue. Chapter 6 is the most important chapter in the book: filtering divergence with market structure, because raw divergence on its own is a mediocre edge and everyone selling you an RSI course forgets to mention that. Chapters 7 and 8 turn concept into process — timeframes, entries, stops and, crucially, invalidation. Chapter 9 makes you prove it to yourself with testing and a journal, because our opinion of RSI is worth nothing next to your own evidence.

Read with a charting platform open. When we describe a divergence, go and find five real ones on historical charts before moving on. The worked examples in this book are illustrations of technique — they show you what a concept looks like, not what to trade on Monday. Every rule in here is a hypothesis for you to test, not a promise. By the end you should have a written, testable RSI playbook of your own. That is the product. The book is just the scaffolding.

Chapter 1 — What RSI Actually Measures

Ask ten traders what RSI measures and nine will say "whether the market is overbought or oversold." That answer is somewhere between incomplete and wrong, and it is the root of most RSI losses. So let's start where almost nobody starts: with what the number on your screen actually is.

The maths, in plain English

The Relative Strength Index was published by J. Welles Wilder in 1978, in the same book that gave us ATR and the Parabolic SAR. Wilder was an engineer, and RSI is an engineer's tool: a way of compressing recent price momentum into a bounded number between 0 and 100.

Here is the whole calculation, stripped of mystique. Take the last 14 periods (14 is Wilder's default; your platform will use it unless you change it). For each period, note whether the close was higher or lower than the previous close, and by how much. Average the up-moves. Average the down-moves. Divide the first by the second — that ratio is the "relative strength", RS. Then squash it onto a 0–100 scale with the formula RSI = 100 − 100/(1 + RS).



Figure. The full RSI calculation in five steps. Everything the indicator will ever tell you comes from one question: over the last 14 candles, how big were the up-closes relative to the down-closes?

One wrinkle worth knowing: Wilder used his own smoothing method, which behaves like a long exponential average. In practice this means each new RSI value carries a memory of

older data, so the line moves more gradually than a simple 14-bar snapshot would. That is why RSI doesn't jump around like raw price does.
That's it. No sentiment feeds, no volume, no institutional order flow. RSI is a smoothed ratio of recent up-closes to recent down-closes, rescaled to fit between 0 and 100.

What a reading of 70 actually says

Now translate the maths into meaning. An RSI of 50 means average gains and average losses over the window are equal — momentum is balanced. An RSI of 70 means recent up-moves have been substantially larger than recent down-moves. An RSI of 30 means the reverse.

Notice what an RSI of 70 does not say. It does not say price is "too high". It does not say buyers are exhausted. It does not say a reversal is due. It says one thing only: over the last 14 periods, the market has gone up hard relative to how it has gone down. That is a statement about the recent past, full stop.

Here's the bit that reframes everything: "the market has been going up hard" is also a perfectly good description of a strong uptrend. The exact condition the folklore tells you to fade — high RSI — is the mathematical signature of the thing trend traders spend their lives looking for. Hold that thought; it is the entire subject of Chapter 2.

The bounded scale is the genuinely useful part. Price on EUR/USD in 2026 cannot be compared to price in 2016, but an RSI of 75 is an RSI of 75 in any market, any decade, any timeframe. That comparability is what makes RSI a momentum ruler — you can measure this swing's thrust against the last swing's thrust on the same scale. Divergence trading, which is most of this book, is nothing more than reading that ruler carefully.

Settings, and why we'll mostly leave them alone

You can change the lookback. A 7-period RSI is twitchy and hits extremes constantly; a 21-period RSI is stately and rarely leaves the middle of the range. Shorter settings give you more signals of lower quality; longer settings give you fewer signals with more lag. There is no magic number, and the people who claim their optimised 13-period RSI with custom 68/32 bands is an edge have usually just curve-fitted the last two years of data.

Our editorial position: stay on 14 until your own testing (Chapter 9) gives you a documented reason to move. Not because 14 is optimal — nobody can prove that — but because changing settings is what traders do instead of fixing their process. A divergence that only appears on RSI-9 but not RSI-14 is a fragile signal. A concept that works, works on the default.

One more thing RSI is not: it is not leading. You will hear oscillators called "leading indicators" as opposed to "lagging" moving averages. This is marketing. RSI is computed entirely from past closes; it cannot contain information about the future. What it can do —

and this is real — is describe the present more precisely than your eyes can. Momentum fading beneath a rising price is genuinely hard to see on candles alone and genuinely easy to see on RSI. That's the honest sales pitch for this indicator: not a crystal ball, but a better pair of glasses.

CHAPTER 1 IN ONE SENTENCE:

RSI is a smoothed, 0–100 ratio of recent up-closes to down-closes — a precise description of recent momentum, not a verdict on whether price is "too high" or "too low".

Chapter 2 — The Overbought/Oversold Myth

Every platform ships RSI with two dotted lines at 70 and 30, and every beginner guide repeats the same instruction: above 70 is overbought, so sell; below 30 is oversold, so buy. It sounds sensible. It feels contrarian and clever. And in trending markets — which is precisely when RSI spends the most time at extremes — it is a machine for losing money slowly. This chapter is the pub argument we most enjoy having, so let's have it properly.

What "overbought" actually looks like

Recall Chapter 1: RSI above 70 means recent up-moves have dwarfed recent down-moves. Now ask the obvious question the folklore skips: what kind of market produces that reading?

A strong uptrend. That's what. When a currency pair is trending hard — a genuine, fundamentals-backed, everyone-piling-in move — it closes up more often than down, and the up-closes are bigger. RSI doesn't merely visit 70 in those conditions; it moves in above 70 and unpacks its bags. Analysts sometimes call this an "embedded" reading: RSI holding above 70 (or below 30) for bar after bar. An embedded reading is not a reversal warning. It is the market telling you, in the plainest language an indicator can manage, that the trend is powerful and one-way.



Figure. Price trending strongly while RSI sits above 70 for an extended stretch. The 'overbought' reading persists precisely because the trend is strong — each candle a fader shorted here would have been an early entry into a losing habit.

So the trader who shorts every touch of 70 is systematically fading strength. In a range they'll be fine, even smug. Then a real trend arrives, RSI pins above 70 for two weeks, and they get to experience the special pain of being repeatedly, confidently wrong in the same direction. Ask anyone who tried to short a major one-way move "because the RSI was overbought". The indicator wasn't lying — they were mistranslating it.
Here's the wry bit: "overbought" was always a strange word. It smuggles in a conclusion — that too much buying has happened and must be corrected — which the maths simply doesn't support. RSI at 74 is a thermometer reading. Deciding the patient must therefore cool down imminently is your assumption, not the thermometer's.

Where the folklore does hold

We promised opinionated, not one-eyed. Overbought/oversold logic isn't useless — it is conditional, and the condition is the market regime.

In a genuine range — price oscillating between defined support and resistance with no trend — mean reversion is the dominant behaviour, and RSI extremes mark the turns reasonably well. Price tags the top of the range, RSI pokes above 70, and reverting toward the middle is the statistically ordinary outcome. In that environment, fading extremes is a coherent hypothesis worth testing. The mistake is never the tactic; it's applying the tactic without checking the regime. Chapter 3 is devoted to making that check systematic.

There's also a softer, legitimate use even in trends: an extreme reading as a warning against chasing. If you're trend-following and RSI has just spiked to 85 on a vertical candle, that is a poor moment to be initiating fresh risk — not because reversal is certain, but because your entry sits at the far end of a stretched move, your stop is miles away, and any ordinary pullback will hurt. "Don't fade it, but don't chase it either" is the grown-up reading of an extreme.

The psychology of fading, and a rule to replace the myth

Why is the sell-at-70 myth so sticky? Because fading feels intelligent. Buying a market that's already up smells like arriving late; shorting it feels like seeing through the crowd. There's real ego-food in calling a top. Trend-following, by contrast, feels like queueing — profitable queueing, often, but nobody brags about queueing.

Loss aversion plays a part too. A fade that works pays off fast, which is intoxicating. A fade that fails loses slowly and invites averaging in — "it's even more overbought now!" — which is how a small wrong idea becomes a large wrong position. If you recognise yourself in that sentence, welcome; most of us have been there, and the exits are clearly signposted in Chapter 8.

Here is the replacement rule, and it inverts the folklore: treat RSI extremes as evidence of strength first and stretch second. RSI above 70 in a trending market is a reason to respect the uptrend and look for pullback entries, not tops. RSI above 70 at the ceiling of a well-defined range is a reason to consider the fade — but only there, and only with structure agreeing (Chapter 6). Same number, opposite meanings, and the difference is entirely context. An indicator can't know the context. You can.

One caveat before we move on: none of this means extremes never mark tops. Sometimes RSI hits 78 and the market reverses that very hour, and the fader collects. The point is not that fading always fails; it's that "70 = sell" contains no edge by itself, because it fires constantly in exactly the conditions where it's most wrong. Whatever edge exists lives in the filter, not the number. That's a testable claim — and in Chapter 9 you'll test it on your own pairs rather than taking our word.

> **CHAPTER 2 IN ONE SENTENCE:**
>
> RSI above 70 is the signature of strength, not a sell signal — overbought/oversold logic only earns its keep inside a confirmed range, and fading extremes in a trend is slow-motion account damage.

Chapter 3 — RSI Behaviour in Trends vs Ranges

If Chapter 2 tore down the folklore, this chapter builds the replacement: a working model of how RSI actually behaves in the two market regimes that matter. Learn this well and the indicator stops being a pair of arbitrary lines and starts being a regime gauge — arguably its most underrated job.

RSI shifts its range with the trend

Here is the observation that changes how you read the panel forever: RSI does not use its full 0–100 scale evenly. It operates in shifted ranges depending on the trend.

In a healthy uptrend, RSI typically oscillates roughly between 40 and 80. Rallies push it into the 70s; pullbacks drain it to the 40s — sometimes the low 40s — and then it turns back up. The classic 30 line is rarely touched, because in an uptrend even the sell-offs lack the sustained down-closes needed to drag the ratio that low. Traders sometimes call the 40–50 zone in an uptrend the "bull support zone" for RSI: it's where pullbacks tend to exhaust.

In a downtrend, mirror everything: RSI lives roughly between 20 and 60. Bounces stall in the 50s or low 60s; declines press into the 20s. The 70 line might as well not exist.



Figure. An uptrend where RSI oscillates between roughly 40 and 80, never reaching classically 'oversold' territory. The pullback lows on RSI around 40–50 mark where buying interest resumed — a far more useful landmark than the untouched 30 line.

This idea — that RSI's effective range migrates with the trend — was explored in depth by Andrew Cardwell and later popularised by Constance Brown, and it's one of the few pieces of indicator lore that survives contact with real charts. Try it yourself: pull up any sustained trend on a major pair and mark RSI's swing highs and lows through the move. You'll find the floor and ceiling shifted exactly as described. (Illustration, not gospel: verify on your own markets in Chapter 9.)

The practical payoff is twofold. First, pullback recognition: in an uptrend, RSI returning to the 40–50 area flags that the pullback is mature — momentum has reset without breaking — which is prime territory for hidden divergence, coming in Chapter 5. Second, regime warning: when RSI in an uptrend suddenly plunges through 40 and reaches 30, something has changed. A move that was structurally "impossible" in the old regime just happened. That's not automatically a downtrend, but it's the momentum equivalent of a lower low, and it should sharpen your attention.

Ranges: where the textbook finally works

In a genuine sideways market, RSI behaves the way the beginner guides always claimed. Price ping-pongs between support and resistance; RSI swings between the 30s and 70s; extremes broadly coincide with the edges of the range. Mean reversion dominates, so momentum extremes mark exhaustion rather than strength.



Figure. A sideways market oscillating between horizontal support and resistance. This is the one regime where fading RSI extremes is a coherent starting hypothesis — the edges of the range and the extremes of the oscillator tend to arrive together.

Two honest warnings about range trading with RSI. First, ranges end, and they usually end with a breakout that RSI reads as maximally overbought or oversold at exactly the wrong moment — the fader's nightmare from Chapter 2, arriving on schedule. Any range-fading rule needs a structural stop beyond the range and an acceptance that the last fade before the breakout will lose. Second, mid-range signals are noise. RSI touching 65 while price floats in the middle of the range tells you nothing worth risking money on. Extremes matter at the edges, where structure gives them somewhere to lean.

Diagnosing the regime before trusting the reading

Everything above is useless if you can't tell which regime you're in, so make the diagnosis explicit rather than vibes-based. Three checks, ten seconds each.

One: structure. Is price printing higher highs and higher lows (uptrend), lower highs and lower lows (downtrend), or overlapping swings between horizontal levels (range)? Structure is the primary evidence — always price first, indicator second.

Two: RSI's own recent range. Look back over the last few dozen bars. Has RSI been living in 40–80? Trend up. In 20–60? Trend down. Using the full 30–70 span with turns at each end? Range. The indicator diagnoses itself, which is rather elegant.

Three: the 50 line. RSI's midpoint is a serviceable trend filter on its own: momentum consistently holding above 50 leans bullish, consistently below leans bearish, and endless whipsawing across 50 is the signature of chop. It's crude, but crude and honest beats precise and imaginary.

The discipline is doing the diagnosis before consulting the signal. Regime first, reading second — in that order, every time. Most RSI disasters aren't caused by the indicator misfiring; they're caused by a range-market tactic being deployed in a trend, or vice versa. Same panel, same settings, same trader — wrong map.

There's a psychological trap here worth naming: regime denial. Traders who've been profitably fading a range for three weeks do not want the range to end, so they treat the breakout as "just another extreme" and fade it too. Write your regime criteria down, check them at the start of every session, and let the checklist overrule your preferences. The market doesn't consult your comfort before changing character.

> **CHAPTER 3 IN ONE SENTENCE:**
>
> RSI operates in shifted ranges — roughly 40–80 in uptrends, 20–60 in downtrends, full-span in ranges — so diagnose the regime first and only then decide what a given reading means.

Chapter 4 — Regular Divergence: Spotting Momentum Fading

Now we arrive at the headline act. Divergence is the reason most serious traders keep RSI on the chart long after they've abandoned the 70/30 folklore, and regular divergence is the classic form: the moment when price and momentum stop telling the same story.

What divergence is, and why it exists

Regular bearish divergence: price makes a higher high, but RSI makes a lower high. Regular bullish divergence: price makes a lower low, but RSI makes a higher low. In both cases, price has extended the move, but the momentum behind the extension has faded. The engine is still turning; it's just turning with less force than last time.

Why does this happen mechanically? Remember what RSI measures: the size of recent up-closes relative to down-closes. Late in a trend, the final push to a new high is often ground out — smaller candles, more overlap, hesitant closes — compared with the muscular impulse that built the earlier high. Price nudges over the line; the average gain doesn't. So RSI prints a lower high even as price prints a higher one. Divergence isn't magic. It's arithmetic noticing what your eye glosses over: the new extreme was achieved with less conviction.



Figure. Regular bearish divergence: price grinds to a marginal higher high while RSI prints a clearly lower high. The trend made a new extreme, but with visibly less momentum — an early warning, not an instruction to sell.

The bullish mirror is identical logic upside down. A downtrend stabs to a lower low, but the selling pressure behind that stab — measured as average down-closes — is weaker than at the previous low, so RSI holds a higher low. Sellers are still winning, but they're winning on fumes.



Figure. Regular bullish divergence: a lower low in price against a higher low in RSI. The final flush broke the prior low on fading downside momentum — the kind of footprint that often appears near exhaustion, and sometimes appears twice more before it matters.

Reading it honestly: warning, not signal

Now the part every RSI course rushes past, and the part that decides whether divergence makes or costs you money: regular divergence is an early warning, not an entry.

"Early" is doing heavy lifting in that sentence. Divergence tells you momentum is fading, and momentum can fade for a long time before price actually turns. Strong trends routinely print divergence after divergence — price higher high, RSI lower high, then another higher high, another lower RSI high — a pattern traders call stacked or serial divergence. Each one looked like a top. Only the last one was. The trader who shorted the first bearish divergence in a strong trend was, functionally, fading strength with extra homework — a better-dressed version of the Chapter 2 mistake.

So calibrate your expectations now, before the first live example seduces you. Divergence marks conditions, not timing. It says: "the move is ageing; stop adding in this direction; start paying attention to the other side." It does not say: "reverse here." The difference between those two sentences is roughly the difference between traders who use divergence and traders who get used by it. What converts warning into trade is structure — a broken swing, a change of character — and that is Chapter 6's whole job. For now, drill the observation skill: warning first, confirmation second, entry last.

Drawing it properly: the craft details

Divergence sounds simple and is genuinely easy to draw wrong. Some craft rules that will save you from the most common self-deceptions.

Compare swings, not wiggles. A divergence connects two meaningful swing highs (or lows) in price with the RSI peaks that correspond to those same swings. If you're connecting every minor bump the oscillator makes, you can "find" divergence anywhere — and traders desperate for a signal reliably do. If you can't identify the two price swings on a naked chart first, the divergence doesn't exist.

Match the peaks in time. The RSI high you use must be the one produced by that price high, not a convenient peak from three swings ago. Draw a vertical line if you must. Cherry-picking oscillator points to manufacture a slope is the most popular form of divergence fraud, and the only victim is you.

Prefer divergences at extremes. A bearish divergence where the first RSI peak sat above 70 carries more information than one where both peaks idled around 55. Mid-range momentum wobbles are common and mostly meaningless; fading momentum at a genuine extreme is the pattern with pedigree.

Use closes, or at least be consistent. RSI is built from closes, so momentum peaks align with closing prices. Whether you draw price swings on wicks or closes matters less than doing it the same way every time — consistency is what makes your Chapter 9 testing mean anything.

And know the failure modes in advance. Divergence fails by stacking (the trend keeps going and prints another one), and it fails by simply resolving sideways — momentum resets through time, price goes flat for twenty bars, and the "reversal" never comes because the pullback happened in time rather than price. Neither failure is the indicator lying. Both are the natural behaviour of a warning system that fires early by design. Smoke detectors go off before the house burns down; occasionally it's just toast. You still want the detector — you just don't jump out of the window every time it beeps.

A worked illustration to make it concrete (an illustration of technique, not a signal): imagine GBP/USD on the four-hour chart rallying from 1.2600 to 1.2850, pausing, then pushing to 1.2870. The second push takes nine candles of overlapping grind versus the three clean impulse candles of the first leg. RSI peaked at 76 on the first high and manages only 64 on the second. That's the complete regular bearish divergence: marginal new price high, decisively lower momentum high, fading conviction visible in both the candles and the maths. What a disciplined trader does with it: nothing, yet. They mark it, they stop looking for longs, and they wait for structure to speak — which is exactly where we're heading.

CHAPTER 4 IN ONE SENTENCE:

Regular divergence — price making a new extreme while RSI makes a lesser one — is arithmetic proof that momentum is fading, and it earns its keep as an early warning to prepare, never as a standalone instruction to reverse.

Chapter 5 — Hidden Divergence: Trend Continuation Clues

If regular divergence is the famous sibling, hidden divergence is the quietly competent one who actually gets more done. It points with the trend rather than against it, which means it co-operates with the market's default behaviour instead of fighting it — and that alone makes it, in our editorial opinion, the more forgiving pattern for most intermediate traders to learn first.

The pattern, flipped

Hidden bullish divergence: price makes a higher low, but RSI makes a lower low. Hidden bearish divergence: price makes a lower high, but RSI makes a higher high. Read those definitions twice, because they're regular divergence's mirror image and the two are eternally confused. A crude mnemonic that works: regular divergence disagrees at the extremes of the move (new price extreme, weaker momentum — possible reversal); hidden divergence disagrees at the pullbacks (protected price level, exaggerated momentum reset — likely continuation).

Walk through the bullish case slowly. An uptrend pulls back. The pullback holds above the previous swing low — structure intact, higher low printed, trend technically healthy. But the pullback was sharp: a few heavy sell candles compressed into little time. RSI, which measures the size of recent down-closes, reads that sharpness as a deep momentum flush and prints a lower low than it did at the previous, gentler pullback. So you get price saying "the trend is fine — buyers defended a higher floor" while RSI says "that dip was violent."

Why is that bullish? Because the market absorbed an outsized dose of selling pressure and still couldn't break structure. Momentum got fully reset — the spring recompressed — without the trend conceding anything. When the sellers' best recent effort produces a higher low, the path of least resistance remains up. Hidden divergence is the footprint of a trend inhaling before its next leg.



Figure. The staircase of higher highs and higher lows that defines an uptrend. Hidden bullish divergence lives at the higher lows: the pullbacks where price defends structure even while RSI records a deep momentum reset.

The bearish mirror: a downtrend bounces, the bounce stalls at a lower high, but the bounce was punchy enough to drive RSI to a higher high than the previous rally managed. Buyers threw real momentum at it and still couldn't reclaim structure. Continuation lower remains the working hypothesis.

Why with-trend divergence is the friendlier tool

Here's the pub version of the argument. Regular divergence asks you to bet that a trend is ending — a low-probability event you're trying to time precisely. Hidden divergence asks you to bet that a trend will continue — the statistically ordinary outcome — and merely helps you time the entry. One pattern fights the base rate; the other rides it.

That has practical consequences beyond win rate. With hidden divergence, your invalidation is crisp and close: the higher low that defines the pattern. If price breaks it, the pattern is dead, the trend is in question, and you're out for a controlled loss — no ambiguity, no "maybe it needs more room." With regular divergence, invalidation is fuzzier, because a trend can print a new extreme and still reverse shortly after (the stacking problem from Chapter 4). Cleaner invalidation means cleaner risk management, and Chapter 8 will lean on this heavily.

There's also a psychological ergonomics point. Trading hidden divergence means buying pullbacks in uptrends — which feels bad in the moment (you're buying red candles into fear) but keeps you aligned with the market's direction. Trading regular divergence means fading trends — which feels clever in the moment and puts you on the wrong side of the base rate.

As a rough rule of thumb for self-diagnosis: if your trading pain comes from being repeatedly steamrolled, you've been overusing counter-trend patterns; hidden divergence is the antidote that still lets you keep your beloved oscillator.

Craft rules and a worked illustration

The drawing discipline from Chapter 4 carries over wholesale — real swings, time-matched peaks, no cherry-picking — plus three additions specific to hidden divergence.

First, the trend must actually exist. Hidden divergence is a continuation pattern; without an established trend there is nothing to continue. Run the Chapter 3 regime diagnosis first: higher highs and higher lows on structure, RSI living in its shifted 40–80 range. Hidden divergence "found" inside a choppy range is noise wearing a costume.

Second, the RSI reset location matters. The best hidden bullish divergences see RSI dip into that 40–50 bull-support zone from Chapter 3 — a full reset within a healthy regime. If RSI is collapsing to 25 in your "uptrend", question the uptrend, not just the entry.

Third, location in the move matters. A hidden divergence at the second or third pullback of a fresh trend is a different proposition from one at the eighth pullback of an elderly, over-extended move. The pattern doesn't know how old the trend is. You should.

The worked illustration (technique, not a signal): EUR/USD on the daily has turned up from 1.0700, printing swing lows at 1.0750 and then, after a rally to 1.0950, a sharp three-day pullback to 1.0800 — a higher low, structure intact. At the 1.0750 low, RSI read 44; at the 1.0800 low, the speed of the drop drags RSI to 38 — a lower low on the oscillator against a higher low on price. Hidden bullish divergence, drawn between two genuine swing lows, in a diagnosed uptrend, with RSI resetting near the bull-support zone. What it means: the pullback did its job. What it doesn't mean: buy at market this instant. The pattern nominates a candidate; structure and a trigger (Chapters 6 and 8) confirm or dismiss it.

One last framing before we move to filters. Regular and hidden divergence are not rivals; they're two lenses on the same underlying question — is momentum confirming price, or arguing with it? At extremes, the argument warns of reversal. At pullbacks, the argument (perversely) supports continuation. A trader who can read both fluently has something close to a running commentary on the health of any trend they follow. Test both; keep whichever your data supports.

> **CHAPTER 5 IN ONE SENTENCE:**
>
> Hidden divergence — a protected higher low in price against a deeper low in RSI, or its bearish mirror — marks a full momentum reset inside an intact trend, making it a continuation clue that trades with the base rate instead of against it.

Chapter 6 — Filtering Divergence With Market Structure

Here is the chapter that separates this book from a YouTube thumbnail. Raw divergence — taken everywhere it appears, unfiltered — is a mediocre edge at best, and anyone who has honestly backtested it will tell you the same slightly deflating thing: it fires far too often, and most of the fires are false alarms. The fix is not a better oscillator. The fix is refusing to act on divergence unless market structure independently agrees. Structure is the filter; divergence is merely the fuel.

Location: divergence only matters somewhere

The first filter is brutally simple: where did the divergence form? A bearish divergence in the middle of nowhere — mid-range, mid-trend, no level in sight — is trivia. The same divergence forming at a level where you'd already expect sellers is evidence.

What counts as a level? The usual suspects, and you've met them in earlier courses: a prior swing high or low that the market has respected before; a well-defined range boundary; a supply or demand zone left by a previous impulsive departure; a higher-timeframe level visible on the daily or weekly. The common thread is that the level exists independently of the oscillator. You should be able to cover the RSI panel entirely and still say "if this market stalls anywhere, it stalls here." Then, and only then, does divergence at that spot mean something: momentum fading precisely where opposing orders were already expected is two unrelated witnesses telling the same story.

Practical discipline: mark your levels before the session, from structure alone, with the indicator hidden if you can manage it. Then let divergence grade the approaches into those levels. Level first, divergence second. Traders who reverse the order — spot a divergence, then squint until they find a "level" to justify it — are running confirmation bias with extra steps, and their journal (Chapter 9) will eventually say so in writing.

Confirmation: let structure actually break

The second filter addresses divergence's chronic earliness, the stacking problem from Chapter 4. The answer: after the warning, demand that price structure changes before you treat the reversal as real.

The cleanest structural confirmation is the change of character — the moment a trend breaks its own pattern. An uptrend is a sequence of higher highs and higher lows; it remains an uptrend until a swing low is broken. So the sequence for a regular bearish divergence goes: divergence prints at a meaningful level (warning); price then breaks below the most

recent higher low (confirmation — the first lower low, the structural crack); only then is a short setup on the table, typically on the subsequent pullback. The divergence made you watch. The break made it actionable. Skipping the middle step is how people end up short three separate times inside a rising trend, each time armed with a fresh divergence and fresh hope.



Figure. A change of character: the uptrend's final higher high is followed by a break of the prior higher low. Divergence before this break is a warning under observation; divergence plus this break is a confirmed shift worth planning around.

For hidden divergence the confirmation is lighter, because you're joining a trend rather than calling its death: you want the pullback to visibly end — a rejection candle at the higher low, a reclaim of a minor level, a break of the pullback's own small counter-trend structure. You're not waiting for a full change of character (there isn't one; the trend never broke). You're waiting for evidence the dip is finished rather than merely pausing.

Yes, confirmation costs you entry price. The confirmed entry is always worse than the prophetic one, and some divergences will reverse perfectly without you because the break came late. Accept it cheerfully. You are trading a distribution of outcomes, not one chart, and across the distribution the trades you skip — the stacked divergences that ran on for another 300 pips — pay for the worse entries several times over. That's a claim you'll verify yourself in Chapter 9, but we'll flag our colours now: of every filter in this book, requiring a structural break before acting on regular divergence is the one we'd defend in a pub argument with the fewest caveats.

The combined checklist

Assemble the whole machine, because the parts only work assembled. Before any divergence trade becomes a candidate, five questions, in order:

One — regime: what does the Chapter 3 diagnosis say, and is this the right divergence type for it? (Regular divergence fights trends; demand more from it. Hidden divergence needs a trend to continue.) Two — swings: is the divergence drawn between two genuine, matching swing points, honestly, closes-consistent? Three — location: is it forming at a pre-marked structural level that exists without the indicator? Four — confirmation: has price actually broken or rejected the structure you required, or are you anticipating? Five — invalidation: do you know, right now, the exact price at which this idea is wrong? (That last one is Chapter 8's opening subject.)

Most divergences you spot will fail this checklist. That is the checklist working. If it feels like the filters are strangling your trade count, you've understood them correctly: the entire point is that raw divergence over-fires, and your edge — if you have one — lives in the small minority that pass every gate. Fewer, better, filtered. It's less exciting than trading every wobble in the oscillator, in the same way that not falling down the stairs is less exciting than falling down the stairs.

> **CHAPTER 6 IN ONE SENTENCE:**
>
> Divergence only deserves your money when it forms at a pre-marked structural level and price then confirms with an actual break or rejection — structure is the filter that turns an over-firing warning system into a tradeable framework.

Chapter 7 — RSI Across Timeframes

Every chart you trade is one floor of a building. The five-minute trader's brutal downtrend is a mild pullback on the four-hour and invisible on the weekly. RSI, being computed from whatever candles you feed it, inherits this completely: there is no such thing as "the" RSI reading, only the reading on a timeframe. This chapter is about making the floors of the building talk to each other instead of shouting over one another.

One indicator, several truths

Start with the uncomfortable fact: at any given moment, RSI on your different timeframes will disagree. The daily might read 63 and rising while the one-hour prints a bearish divergence and the five-minute sits oversold at 27. None of these is wrong. Each is a correct answer to a different question. The daily answers "what's the momentum of the multi-week move?" The one-hour answers "what's the momentum of this week's leg?" The five-minute answers "what happened since lunch?"

Trouble starts when traders treat these as contradictory verdicts and pick whichever supports the trade they already want — a practice we'd call timeframe shopping, and which your journal will expose with embarrassing speed. The fix is to assign each timeframe a fixed job before the session starts, and never let them swap.

The two-role model: regime above, timing below

You need exactly two roles, and therefore two or at most three timeframes. More than that is indicator soup with extra crockery.

The higher timeframe sets the regime. This is where you run the Chapter 3 diagnosis: trend or range, and which way. Is daily RSI living in its 40–80 uptrend range? Holding above 50? Is structure printing higher highs and higher lows? The higher timeframe's output is a single sentence — "this market is in an uptrend; I am only interested in longs" or "this is a range; I'll consider fades at the edges" — and that sentence becomes law for the session.

The lower timeframe finds the entry within that law. This is where divergence does its best work. Trading in the higher-timeframe direction, the pattern you're hunting on the lower timeframe is delicious in its symmetry: when the higher-timeframe uptrend pulls back, that pullback is a downswing on your entry timeframe — and as it exhausts into a higher-timeframe support area, the lower timeframe will often print a regular bullish divergence. The counter-trend move's momentum fading, at a level, in the direction of the bigger flow. Lower-timeframe reversal pattern, higher-timeframe continuation trade. This alignment — HTF trend plus LTF divergence at a level — is, for our money, the highest-quality divergence context in the whole book.



Figure. The same market on three timeframes: the higher timeframe defines the trend and the levels, the middle frames the current pullback, and the lower timeframe supplies the divergence and trigger. Each floor of the building has one job, assigned before the session, never swapped mid-trade.

A convenient rule of thumb for spacing: a factor of four to six between frames. Daily regime with four-hour entries; four-hour regime with one-hour entries; one-hour regime with fifteen-minute entries. Closer than that and the frames just echo each other; further apart and the "pullback" on the higher frame contains entire trends on the lower one, which defeats the purpose.

Conflicts, hierarchy, and the soup problem

What about when the frames genuinely conflict — a strong bearish divergence on your entry timeframe against a roaring higher-timeframe uptrend? The hierarchy resolves it, and the hierarchy is not democratic: the higher timeframe outranks the lower, always. A lower-timeframe divergence against the higher-timeframe trend is not a trade; at most it's a service announcement — the pullback may be starting, tighten management on longs, don't initiate new ones into it. It becomes a trade only in the rare case where the higher timeframe itself has printed the full Chapter 6 sequence — divergence at a level plus structural break — at which point the regime sentence changes, and with it everything downstream.

Note what the hierarchy is really for: it's not that higher timeframes are mystically superior; it's that a fixed, written hierarchy removes in-the-moment discretion, and in-the-moment discretion is where timeframe shopping lives. The structure protects you from you.

Two final warnings, both anti-complexity. First, resist the urge to monitor five frames "for completeness." Every additional frame adds a voice to the committee, and committees don't trade well; two frames with clear jobs beat five frames with opinions. Beyond a point, extra timeframes don't add information — they add permission to find whatever you were hoping to find. Second, resist stacking additional indicators to arbitrate timeframe conflicts — adding a stochastic to referee two RSIs is treating confusion with more confusion. If your

two-frame model plus structure can't produce a decision, the honest decision is no trade. Flat is a position, and on conflicted days it's usually the best-performing one.

A worked illustration to close (technique, not a signal): daily USD/JPY is diagnosed as an uptrend — structure ascending, daily RSI oscillating 45–78. The daily pulls back three days toward a prior breakout level. On the one-hour chart, that pullback is a sharp downtrend which, as price reaches the daily level, stabs to a marginal lower low while one-hour RSI holds a higher low — regular bullish divergence, on the entry frame, at a higher-timeframe level, pointing in the higher-timeframe direction. Every voice in the building saying the same thing, each from its own floor. Whether it then triggers, and where the stop lives, is the next chapter's business.

CHAPTER 7 IN ONE SENTENCE:

Give each timeframe one fixed job — higher frame diagnoses the regime, lower frame supplies divergence and timing in that direction — and let the higher frame outrank the lower whenever they argue, because a written hierarchy is the only cure for timeframe shopping.

Chapter 8 — Entries, Stops and Invalidation for Divergence Setups

Everything so far has been analysis: reading momentum, spotting divergence, filtering with structure and timeframes. Analysis identifies a candidate. This chapter is about the unglamorous machinery that turns a candidate into a controlled risk: the trigger that gets you in, the stop that limits the damage, and — the concept this chapter is really about — the invalidation that tells you the idea itself has died. These are different things, and confusing them is expensive.

Invalidation first: know where you're wrong before you're in

Most traders think about entries first, stops second, invalidation never. Build it in exactly the reverse order.

Invalidation is the price event that proves the idea wrong — not uncomfortable, wrong. For a regular bearish divergence confirmed by a structure break, the idea is "momentum failed at the high and structure has cracked." That idea is invalidated if price reclaims the divergence high: a new momentum high means the fade thesis is simply false. For a hidden bullish divergence, the idea is "the pullback ended at a protected higher low." Invalidated the moment that higher low breaks — this is the crisp invalidation we praised in Chapter 5, and it's the pattern's best feature.

Write the invalidation price down before entry. Not "I'll see how it looks." A number. Because after entry you are no longer a neutral analyst; you are a position-holder with hopes, and position-holders reinterpret evidence in their own favour with a creativity that would be admirable elsewhere. The invalidation you wrote while flat is the last message from your objective self. Let it outrank the hopeful one.

And here is the sentence that carries the whole chapter: your stop's job is to be the mechanical enforcement of your invalidation. Stop and invalidation should live at essentially the same place, with a sensible buffer. A stop closer than your invalidation gets you kicked out of correct ideas by ordinary noise; a stop further away means you're paying extra to stay wrong longer. Both errors come from thinking of the stop as a pain threshold ("how much can I afford to lose?") rather than a truth threshold ("where is this idea dead?"). Size the position to the stop distance; never place the stop to suit a position size you'd already decided on.

Triggers: three ways in, priced honestly

With invalidation fixed, the entry is just the question of when you start paying for the idea. Three standard triggers, in ascending order of confirmation and, therefore, descending order of entry quality. There's no free lunch here — only a choice of which you'd rather pay: price or certainty.

The anticipatory entry: enter at the level as the divergence completes, before any structural confirmation. Best price, tightest stop, highest failure rate — you're trading the warning, and Chapter 4 told you what warnings do: stack. We'd reserve this, if at all, for hidden divergence in strong trends, where the base rate is on your side. For regular divergence it's the well-dressed version of catching knives.

The trigger-candle entry: wait for a rejection candle at the level — an engulfing bar or long-wicked pin in your direction — and enter on its completion. Middling price, still-close stop (beyond the candle's extreme and the invalidation point), meaningfully better evidence: someone with size actually rejected the level, and you watched them do it.

The structure-break entry: wait for the full Chapter 6 confirmation — the change of character — and enter on the break or, better, the pullback after it. Worst price, widest stop, strongest evidence. For regular (counter-trend) divergence, this is our default recommendation for intermediate traders: the pattern that most needs confirmation gets the most confirmation.

Pick one trigger per setup type and write it into your rules. The trader who floats between triggers based on mood has three systems and masters none — and, not coincidentally, a journal that can't tell them anything.

Making the risk worth taking

A divergence setup, like any setup, is only worth taking if the geometry pays. Before entry, three distances: entry to stop (the risk, one R), entry to the logical target, and the ratio between them.

Targets for divergence trades come from structure, not hope: the opposite side of the range, the prior swing low broken during the change of character, the next higher-timeframe level in the path. Measure honestly — to the near edge of the target zone, not the far one. If the honest measurement says the reward is 1.4 times the risk and your rules demand 2, the setup fails on geometry alone, however beautiful the divergence. Passing on pretty-but-unprofitable setups is a skill, and it's learned exactly here, one declined trade at a time.



Figure. The geometry of a 2R setup: the distance from entry to stop is half the distance from entry to target. With a ratio like this, a strategy can be wrong more often than it is right and still survive — which is the realistic ambition for any divergence method.

Why does the ratio matter so much for this strategy in particular? Because divergence trading — even filtered, even confirmed — will produce plenty of losers. Momentum warnings fire early; some confirmed breaks fail; some targets die 80% of the way there. A method that risks one to make two can be wrong more often than right and still come out ahead over a large sample; a method that risks one to make 0.8 needs a win rate it will rarely sustain. You don't control which trades win. You do control the geometry of every single one. Spend your discipline where you have control.

Management after entry deserves a paragraph of restraint. The intermediate trader's chief in-trade sins are moving stops away from invalidation ("it just needs room") and snatching profits at 0.5R because green felt nice. Both are the position-holder's hope overruling the flat trader's plan. Decide your management in advance — for instance: stop to breakeven only after a new structural point forms in your favour, first target at the nearest opposing level — and then let the trade be boring. A worked illustration (technique, not a signal): short after a confirmed bearish divergence at 1.2870, stop at 1.2905 above the divergence high (35 pips, one R), target the broken structure at 1.2800 (70 pips, 2R). Every number known before entry; nothing left to negotiate with yourself at 2 a.m. That's the entire aspiration of this chapter: no live decisions except the decision to follow the plan.

CHAPTER 8 IN ONE SENTENCE:

Define the exact price at which the divergence idea is dead, place the stop there and size to it, choose one written trigger per setup type, and only take the trades whose honest structure-based targets pay at least twice the risk.

Chapter 9 — Testing and Journalling Your RSI Rules

You have reached the least glamorous and most valuable chapter in the book. Everything before this was our framework — argued as well as we can argue it, but still just an opinion held by people who aren't trading your account. This chapter is where you stop taking our word for anything and start generating your own evidence. If you skip it, you haven't learned divergence trading; you've memorised someone else's beliefs about it, and beliefs held on borrowed evidence collapse at the first losing streak.

Write rules a stranger could follow

You cannot test what you cannot state. So the first task is turning the frameworks of Chapters 3 through 8 into rules precise enough that a stranger — or you, at your most tired and tempted — could follow them without judgement calls.

"Trade bullish divergence at support" is not a rule; it's a mood. A testable version: "Market regime: daily RSI held above 50 for 20+ days and daily structure shows higher highs/higher lows. Setup: on the 1-hour, price makes a lower low into a pre-marked daily level while 1-hour RSI(14) makes a higher low, both swings being genuine fractal swing points. Trigger: bullish engulfing candle closing within the level zone. Stop: 5 pips beyond the divergence low. Target: nearest 1-hour swing high, minimum 2R or no trade. Invalidation: close beyond the divergence low." Every clause checkable. Every dispute settleable by the chart, not the ego.

Expect your first draft to be full of hidden discretion — "genuine swing point" and "pre-marked level" both need definitions too. That's fine. Finding the fuzz is the point. Each ambiguity you tighten now is an argument you won't have with yourself mid-trade later.

Backtest for evidence, forward test for honesty

With written rules, go backwards through the charts — manually, bar by bar, using your platform's replay function if it has one so future price is hidden. Manual replay matters for a divergence method: pattern recognition with hindsight is corrupted ("of course that was the real divergence — look what happened next"), and replay is the cheapest honesty you can buy. Mark every setup your rules flag, including — especially — the ones that lost. Record each trade's outcome in R, not pips or pounds, so results compare across pairs and years.

How many? More than feels necessary. Thirty trades is a bare minimum to see the shape of a strategy; a hundred is where the noise starts to settle. Ten trades tells you nothing except what those ten trades did — a coin flipped ten times will happily show seven heads. Small

samples are how traders convince themselves of edges that don't exist, and how they abandon edges that do after one bad week. Both errors have the same cure: sample size.

What you're extracting from the sample: win rate, average winner and loser in R, expectancy per trade, and — read this twice — the longest losing streak. That last number is psychological armour. If your backtest shows the method historically hit six consecutive losses somewhere in the sample, then a live run of four losers is a Tuesday, not a crisis, and you'll sit through it without torching the rules. Traders don't usually abandon systems because the maths failed; they abandon them because they never learned what normal variance looks like, so ordinary pain read as proof of brokenness.

Then forward test: trade the rules in real time, tiny size or demo, for another meaningful sample. Forward testing catches what backtesting can't — spreads at 2 a.m., your finger hesitating on the trigger, the divergences you somehow don't see when they're forming rather than formed. The gap between your backtest and your forward test is a measurement of two things: market conditions, and you. Both are worth knowing about. Neither number, we should say plainly, is a promise about the future — past results, including your own carefully-gathered ones, guarantee nothing. What testing buys you isn't certainty; it's calibrated expectations and the right to your own confidence.

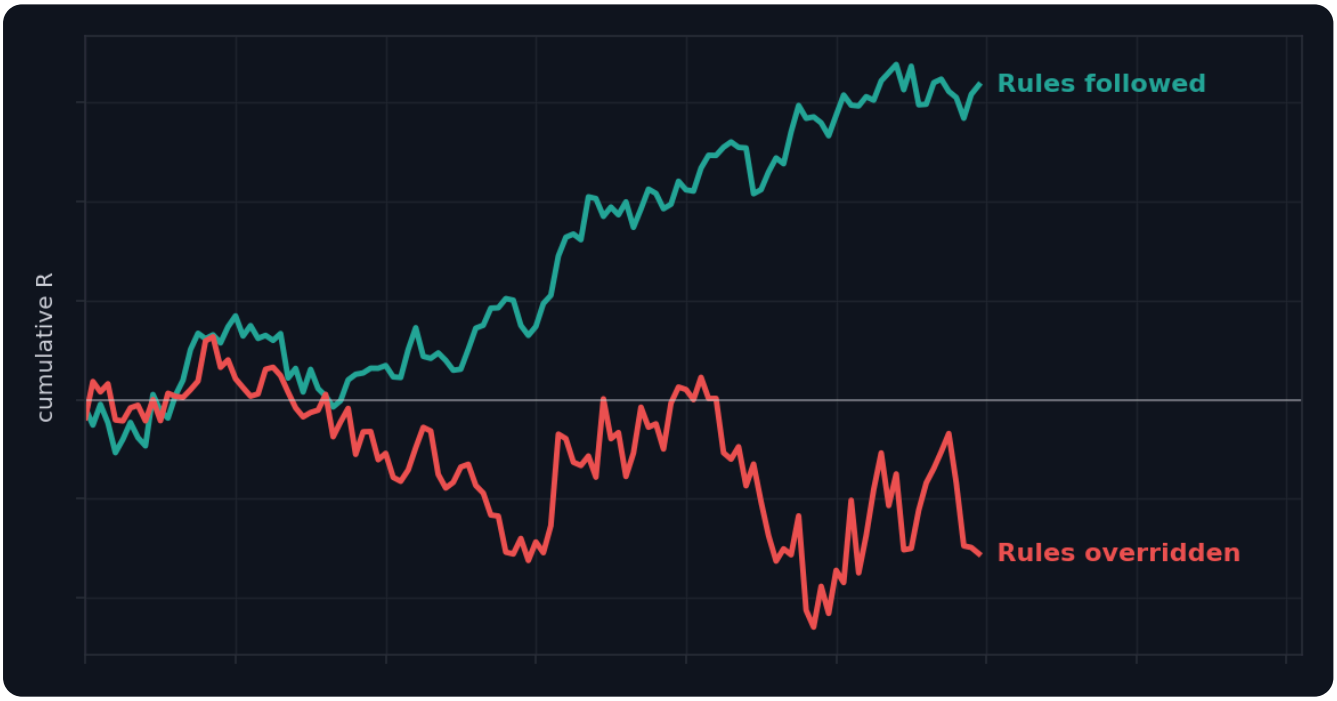


Figure. Two illustrative equity paths from the same underlying method: one following the written rules, one 'improving' them in the moment. The lesson isn't that rules guarantee profit — nothing does — but that you can only evaluate or fix a system you actually followed.

The journal: your personal dataset

The backtest tests the rules. The journal tests the trader. Keep one from your first forward-test trade onward, and make it a dataset, not a diary.

Fields that earn their place for an RSI divergence method: date and pair; timeframes used; regime diagnosis at entry (and the evidence — this catches regime denial red-handed); divergence type, regular or hidden; a screenshot at entry with the divergence and level marked; which trigger fired; planned stop, target and R multiple; actual outcome in R; whether every rule was followed, yes or no, no partial credit; and one line on your state — rushed, calm, revenge-flavoured, bored. That last field will embarrass you and pay you: most traders discover their worst trades cluster after wins (overconfidence sizing up) or after losses (revenge re-entry), and you cannot fix a pattern you haven't recorded.

Review on a schedule — monthly is plenty — and ask the journal specific questions. Which divergence type actually performs for you, regular or hidden? (The answer is frequently not the one you enjoy trading.) Do your range fades pay, or is all your expectancy in with-trend setups? What's your rule-followed rate, and what did the overrides cost in R? Twenty trades of honest journalling routinely settles arguments this book can only frame. When the data says a rule isn't earning its place, change the rule — one change at a time, then another sample, so you know what did what. That loop — rules, sample, review, single revision — is the whole craft. It's slower than hoping. It's also the only version of this that compounds.

And when the journal shows you something that contradicts this book? Believe the journal. We mean that. The frameworks here are the best starting hypotheses we know how to write, but your data, on your pairs, in your hands, outranks our opinions — and a trader who has earned their rules from evidence will hold them through the losing streaks that shake out everyone who merely borrowed theirs.

CHAPTER 9 IN ONE SENTENCE:

Turn the frameworks into rules a stranger could follow, test them across a sample large enough to reveal normal variance, journal every trade as data, and let your own evidence — not this book — decide what stays in your playbook.

The One-Page Version

1. RSI is a smoothed 0–100 ratio of recent up-closes to down-closes. It describes recent momentum; it does not declare price "too high" or "too low".
2. RSI above 70 is the signature of a strong trend, not a sell signal. Fading extremes only earns consideration inside a confirmed range, at the range's edges.
3. Diagnose the regime before reading the indicator. Uptrends hold RSI roughly in 40–80, downtrends in 20–60, ranges use the full span — and structure (higher highs/lows or their absence) is the primary evidence.
4. Regular divergence — new price extreme, weaker RSI extreme — is an early warning that momentum is fading. It stacks in strong trends, so treat it as "stop adding, start watching", never as a standalone reversal entry.
5. Hidden divergence — protected higher low in price, deeper low in RSI (or the bearish mirror) — is a continuation clue that trades with the trend's base rate, with crisp invalidation at the swing that defines it.
6. Draw divergence honestly: real swing points only, RSI peaks time-matched to price swings, extremes preferred, one consistent method. If you have to squint, it isn't there.
7. Filter every divergence through structure: it must form at a pre-marked level that exists without the indicator, and regular divergence must be confirmed by an actual structural break before it becomes a candidate.
8. Run two timeframes with fixed jobs — higher frame sets the regime, lower frame supplies divergence and timing in that direction — and the higher frame always outranks the lower.
9. Invalidation before entry: write down the price at which the idea is dead, put the stop there, size the position to that distance, and only take setups whose honest structural target pays at least about twice the risk.
10. Prove it yourself: written rules a stranger could follow, a backtest and forward test of meaningful sample size, and a journal treated as data. Your evidence outranks this book.

Test Yourself — 15 Questions

1. RSI fundamentally measures: A. The volume of buying versus selling B. The ratio of recent average up-closes to down-closes, scaled 0–100 C. The distance of price from its moving average D. Institutional order flow

2. In a strong, healthy uptrend, RSI holding above 70 for many consecutive bars most likely indicates: A. An imminent reversal B. A broken indicator C. Persistent, powerful trend momentum D. Low liquidity

3. Fading RSI extremes is a coherent starting hypothesis primarily in which environment? A. Strong trends B. Confirmed ranges, at the range edges C. News releases D. Any market, any time

4. In an established uptrend, RSI typically oscillates roughly between: A. 0 and 100 evenly B. 20 and 60 C. 40 and 80 D. 45 and 55

5. Regular bearish divergence is defined as: A. Price higher high, RSI higher high B. Price higher high, RSI lower high C. Price lower high, RSI higher high D. Price lower low, RSI lower low

6. Why does regular divergence occur, mechanically? A. Market makers paint the oscillator B. The final push to a new extreme is made with smaller net closes, so the averaged momentum reading falls short C. RSI includes future price data D. Volume always declines at highs

7. "Stacked" divergence refers to: A. Divergence on multiple indicators at once B. A sequence of divergences printing while the trend keeps extending C. Divergence on two timeframes D. A divergence drawn on wicks and closes together

8. Hidden bullish divergence is: A. Price lower low, RSI higher low B. Price higher low, RSI lower low C. Price higher high, RSI lower high D. Price lower high, RSI higher high

9. Hidden divergence is best interpreted as: A. A reversal signal against the trend B. A continuation clue — a full momentum reset inside an intact trend C. Proof the trend is over D. Random noise

10. Before acting on a regular bearish divergence, Chapter 6 requires: A. Nothing — enter immediately B. A second indicator confirming C. The divergence at a pre-marked level, plus an actual break of structure (change of character) D. RSI crossing 50 twice

11. In the two-role timeframe model, the higher timeframe's job is to: A. Provide the entry trigger B. Diagnose the regime and set the permitted direction C. Show more divergences D. Confirm the lower timeframe's signals

12. When a lower-timeframe divergence argues against the higher-timeframe trend, the correct default is: A. Trade the divergence — lower timeframes are faster B. Trade half size C. Treat it as a caution for existing positions, not a new counter-trend trade D. Add a third indicator to decide

13. The invalidation point of a hidden bullish divergence setup is: A. The round number below entry B. A fixed 20 pips C. Whatever loss feels tolerable D. A break of the higher low that defines the pattern

14. A setup risks 40 pips to a structural target 60 pips away, and your rules require 2R minimum. You should: A. Take it — divergence quality overrides geometry B. Widen the target until it measures 2R C. Pass — the honest geometry fails your rules D. Halve the stop to fix the ratio

15. The main reason to record your backtest's longest losing streak is: A. To brag about surviving it B. To calibrate expectations so normal variance doesn't make you abandon sound rules C. To calculate tax D. To pick a luckier pair

Answer Key

1. B — RSI is a smoothed ratio of average up-closes to down-closes over the lookback, squashed onto a 0–100 scale; nothing about volume or order flow enters the calculation.

2. C — Persistent readings above 70 ("embedded" RSI) are produced by exactly the sustained one-way closes that define a powerful trend.

3. B — Mean reversion dominates in ranges, so extremes near range edges mark exhaustion; in trends the same readings mark strength.

4. C — Uptrends shift RSI's effective range upward, with pullbacks typically exhausting in the 40–50 zone rather than at 30.

5. B — A new price high on fading momentum: price higher high against an RSI lower high.

6. B — Late-trend extensions are ground out with smaller net gains, so the averaged momentum calculation peaks below its previous reading.

7. B — Strong trends can print divergence after divergence before any reversal — the key reason divergence is a warning, not an entry.

8. B — Hidden bullish divergence pairs a protected higher low in price with a deeper low in RSI.

9. B — The trend absorbed a sharp momentum flush without breaking structure, which favours continuation.

10. C — Location at an independent structural level plus a confirmed break turns an over-firing warning into a candidate trade.

11. B — The higher frame produces the regime sentence that governs the session; timing belongs to the lower frame.

12. C — The hierarchy is fixed: higher timeframe outranks lower, so counter-trend LTF divergence is management information, not an entry.

13. D — The pattern is defined by the higher low; if it breaks, the idea is factually dead, and the stop should enforce that.

14. C — 60/40 is 1.5R; geometry is a rule like any other, and stretching targets or shrinking stops to fake the ratio corrupts both.

15. B — Knowing historical worst-case streaks lets you sit through ordinary losing runs without mistaking variance for a broken system.

Appendix — The Glossary, in Plain English

Every term used across Trading Foundry University, explained the way a mate would across a table. 40 terms, no jargon left standing.

Ask
The price you buy at. Always a touch higher than the bid — the gap is the spread.

Base currency
The first currency in a pair. The price says how much of the second one unit of this buys.

Bearish
Expecting a price to fall. The bear swipes down.

Bid
The price you sell at.

Breakout
Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

Bullish
Expecting a price to rise. The bull tosses up.

Candlestick
One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

Central bank
A country's money authority (Bank of England, the Fed). The single biggest force in forex.

Cross
A pair without the US dollar in it, like EUR/GBP.

Drawdown
How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

Economic calendar
The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

Entry
The price where your trade opens.

Exotic
A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

Fill
The actual price your order executed at, which is not always the price you asked for.

Fundamentals
The economic story behind a currency: growth, inflation, interest rates, politics.

Going long
Buying — profiting if the price rises.

Going short
Selling first — profiting if the price falls. Completely normal in forex.

Leverage
Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

Liquidity
How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

Lot
A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

Major
A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

Margin
The deposit your broker holds while a leveraged trade is open.

Margin call
The broker telling you your account can no longer support your open trades. You never want the call.

Pip
The market's inch — the standard unit of price movement, usually the fourth decimal place.

Pipette
A tenth of a pip. Fine print.

Position sizing
Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

Quote currency
The second currency in a pair — the one the price is counted in.

R-multiple
Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

Range
A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

Resistance
A ceiling where selling has repeatedly shown up.

Retest
Price returning to a broken level to check it holds from the other side. The polite entry.

Risk-reward
What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

Slippage
The difference between the price you wanted and the price you got, usually in fast markets.

Spread
The gap between bid and ask — the cost of every trade, paid on the way in.

Stop loss
The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

Support
A floor where buying has repeatedly shown up. The market's memory.

Swap
The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

Take profit
The pre-set exit that banks the win at your target.

Trend
The market's prevailing direction — higher highs and higher lows up, the mirror down.

Volatility
How violently a market moves. Opportunity and danger are the same number.

Continue Your Journey

This book is Playbook 7 of 15 in Trading Foundry University. Everything below is free:

- **The films** — complete strategy guides on YouTube: **youtube.com/@thetradingfoundry**.
- **The Trading School** — structured lessons and quizzes: pip-insight.co.uk/school.
- **The Foundry Journal** — log every trade, track your equity curve and discipline: pip-insight.co.uk/journal. Your data never leaves your device.
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